

Quality-adjusted comps still support upside.

Upgraded MD review version: peer selection methodology, EV/EBIT, scatter diagnostics, valuation bridge, median rationale, and source appendix added while preserving the original visual language.

Nvidia screens expensive on sales, but not on profitability-adjusted valuation.

18.5x EV / REVENUE Premium to peer median of 12.0x; justified by AI growth and margin structure.	28.3x EV / EBITDA Below peer median of 32.3x; primary valuation support.	\$234 BLENDED IMPLIED VALUE +18.8% vs. current price of \$196.93; fair to modestly undervalued.
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The peer set is designed around economic exposure, not simply GICS labels.

- **Core relevance:** companies exposed to accelerated compute, AI infrastructure, memory, networking, and advanced foundry economics.
- **Financial comparability:** public, liquid, global scale companies with observable EV, revenue, EBITDA, EBIT, and equity valuation metrics.
- **Business-model discipline:** semiconductor producers and ecosystem peers included; semiconductor equipment excluded from the selected median.
- **Why ASML is excluded:** equipment-cycle economics and data-provider EV / revenue inconsistencies make it an inappropriate median constituent.

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SELECTED PEERS

Peers are separated into core AI/data-center comparables and broader semiconductor quality controls. Nvidia is shown but excluded from peer statistics.

Peer composition balances AI relevance with cycle-tested semiconductor benchmarks.

TICKER	COMPANY	PEER TIER	SELECTION RATIONALE	MARKET CAP
NVDA	Nvidia	Subject	Subject company — AI accelerators, GPUs, networking	\$4,769.8bn
AMD	Advanced Micro Devices	Core AI/Data Center	Core AI / compute peer — CPUs, GPUs, accelerators	\$841.6bn
AVGO	Broadcom	Core AI/Data Center	Core AI infrastructure peer — networking, custom silicon	\$1,764.0bn
QCOM	Qualcomm	Broader Semiconductor Quality	Mobile / edge compute peer — SoCs and RF	\$192.9bn
TXN	Texas Instruments	Broader Semiconductor Quality	Analog / embedded quality peer	\$266.9bn
MU	Micron Technology	Core AI/Data Center	AI memory peer — DRAM, NAND, HBM	\$1,059.8bn
MRVL	Marvell Technology	Core AI/Data Center	Core data infrastructure peer — networking / optical / custom silicon	\$201.8bn
ADI	Analog Devices	Broader Semiconductor Quality	Analog / mixed-signal quality peer	\$184.6bn
MCHP	Microchip Technology	Broader Semiconductor Quality	Embedded / microcontroller peer	\$45.6bn
NXPI	NXP Semiconductors	Broader Semiconductor Quality	Auto / industrial semiconductor peer	\$69.0bn
ON	ON Semiconductor	Broader Semiconductor Quality	Power / sensing semiconductor peer	\$35.5bn
INTC	Intel	Broader Semiconductor Quality	CPU / foundry / data center peer	\$554.8bn
TSM	Taiwan Semiconductor	Core AI/Data Center	Foundry ecosystem peer — leading-edge manufacturing	\$2,243.5bn

EV/EBIT adds context, but EV/EBITDA remains the cleaner primary multiple.

TICKER	COMPANY	EV/REVENUE	EV/EBITDA	EV/EBIT	P/E	PEG
NVDA	Nvidia	18.5x	28.3x	33.1x	30.2x	0.6x
AMD	Advanced Micro Devices	23.8x	120.0x	208.8x	173.2x	1.2x
AVGO	Broadcom	24.2x	43.3x	70.3x	61.6x	0.4x
QCOM	Qualcomm	4.5x	15.3x	14.9x	19.7x	0.6x
TXN	Texas Instruments	15.5x	32.9x	45.6x	50.1x	1.4x
MU	Micron Technology	12.1x	16.0x	107.8x	21.2x	0.1x
MRVL	Marvell Technology	25.2x	80.9x	67.6x	79.0x	1.4x
ADI	Analog Devices	15.3x	31.7x	64.2x	56.3x	0.7x
MCHP	Microchip Technology	11.2x	43.4x	108.2x	n/m	0.3x
NXPI	NXP Semiconductors	6.1x	18.6x	24.7x	26.1x	0.7x
ON	ON Semiconductor	6.3x	18.5x	187.8x	67.0x	0.3x
INTC	Intel	11.9x	45.2x	241.7x	n/m	1.4x
TSM	Taiwan Semiconductor	4.0x	5.8x	8.0x	37.5x	1.4x

Nvidia's premium is grounded in category-leading growth, margins, and returns.

TICKER	REVENUE GROWTH	GROSS MARGIN	EBITDA MARGIN	ROE	NET MARGIN
NVDA	85.2%	74.1%	65.3%	114.3%	63.0%
AMD	37.8%	53.1%	19.8%	8.1%	13.4%
AVGO	47.9%	76.3%	55.8%	37.3%	38.8%
QCOM	-3.5%	54.8%	29.2%	36.1%	22.3%
TXN	18.6%	57.3%	47.0%	32.3%	29.1%
MU	345.7%	72.6%	75.6%	66.6%	55.9%
MRVL	27.6%	51.5%	31.1%	16.0%	29.0%
ADI	37.2%	64.5%	48.3%	9.6%	26.0%
MCHP	35.1%	57.7%	25.9%	3.4%	4.9%
NXPI	12.2%	55.6%	33.0%	25.8%	21.0%
ON	4.7%	42.7%	33.8%	7.5%	9.5%
INTC	7.2%	37.2%	26.4%	-2.9%	-5.9%
TSM	35.1%	61.9%	69.6%	36.2%	46.5%

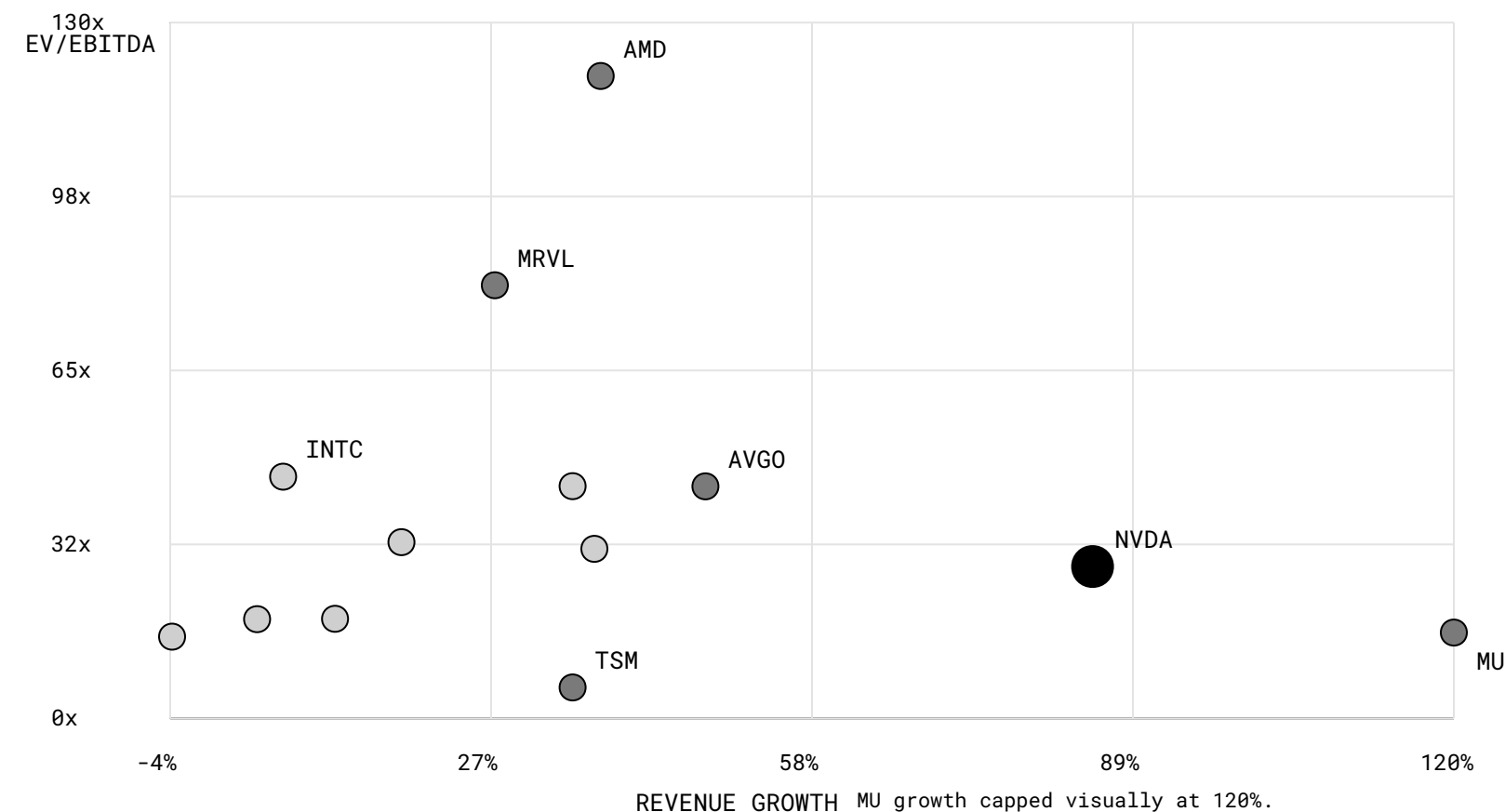
Median is the appropriate valuation statistic in a dispersed semiconductor comp set.

METRIC	N	MEDIAN	MEAN	IQR	NVDA
EV/Revenue	12	12.0x	13.3x	6.2x / 17.6x	18.5x
EV/EBITDA	12	32.3x	39.3x	17.9x / 43.8x	28.3x
EV/EBIT	12	68.9x	95.8x	40.4x / 128.1x	33.1x
P/E	10	53.2x	59.2x	29.0x / 65.6x	30.2x
PEG	12	0.7x	0.8x	0.4x / 1.4x	0.6x

- **Outlier control:** AMD, INTC, MCHP, ON, and memory-cycle peers can carry temporarily distorted earnings multiples.
- **Sell-side convention:** medians better represent central peer-market pricing when distributions are skewed.
- **Mean shown as a cross-check:** not ignored, but lower weight given because it overstates valuation under cyclical troughs.

Nvidia occupies the rare quadrant of high growth and below-median EV/EBITDA.

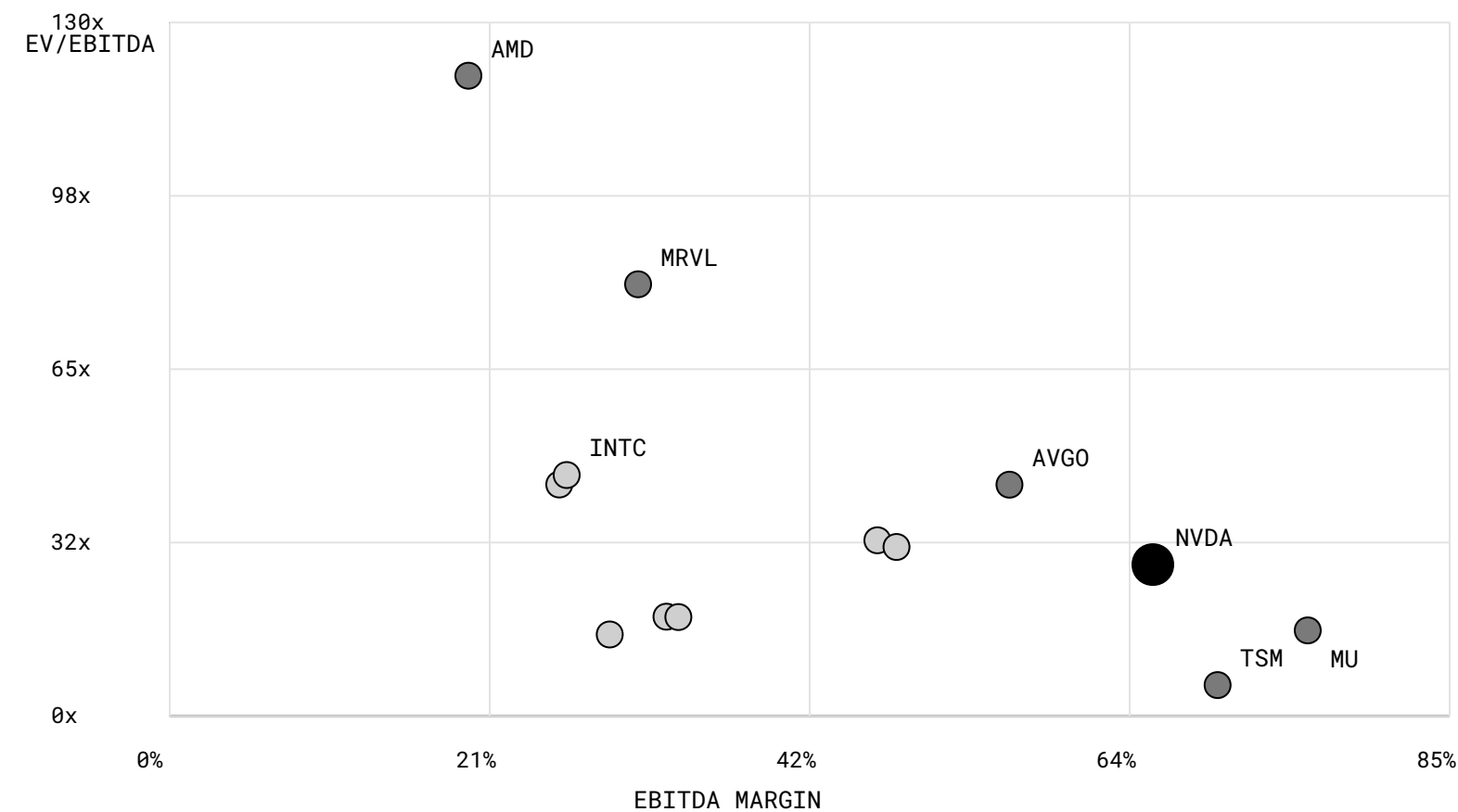
Revenue growth vs. EV/EBITDA



- Nvidia has materially higher revenue growth than most peers, yet trades below the EV/EBITDA median.
- The scatter highlights why a simple EV/Revenue conclusion is incomplete.
- High-growth peers with lower margins often receive high EBITDA multiples; Nvidia combines growth with actual profitability.

The market is not fully capitalizing Nvidia's EBITDA margin advantage.

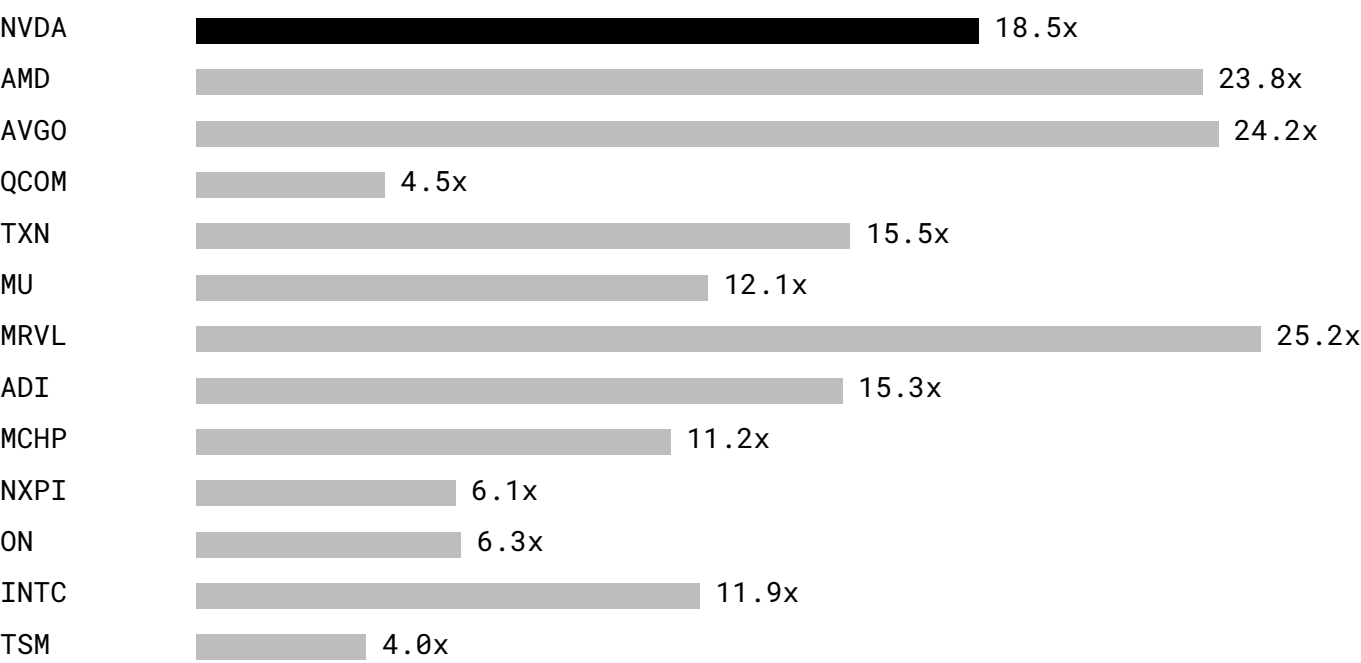
EBITDA margin vs. EV/EBITDA



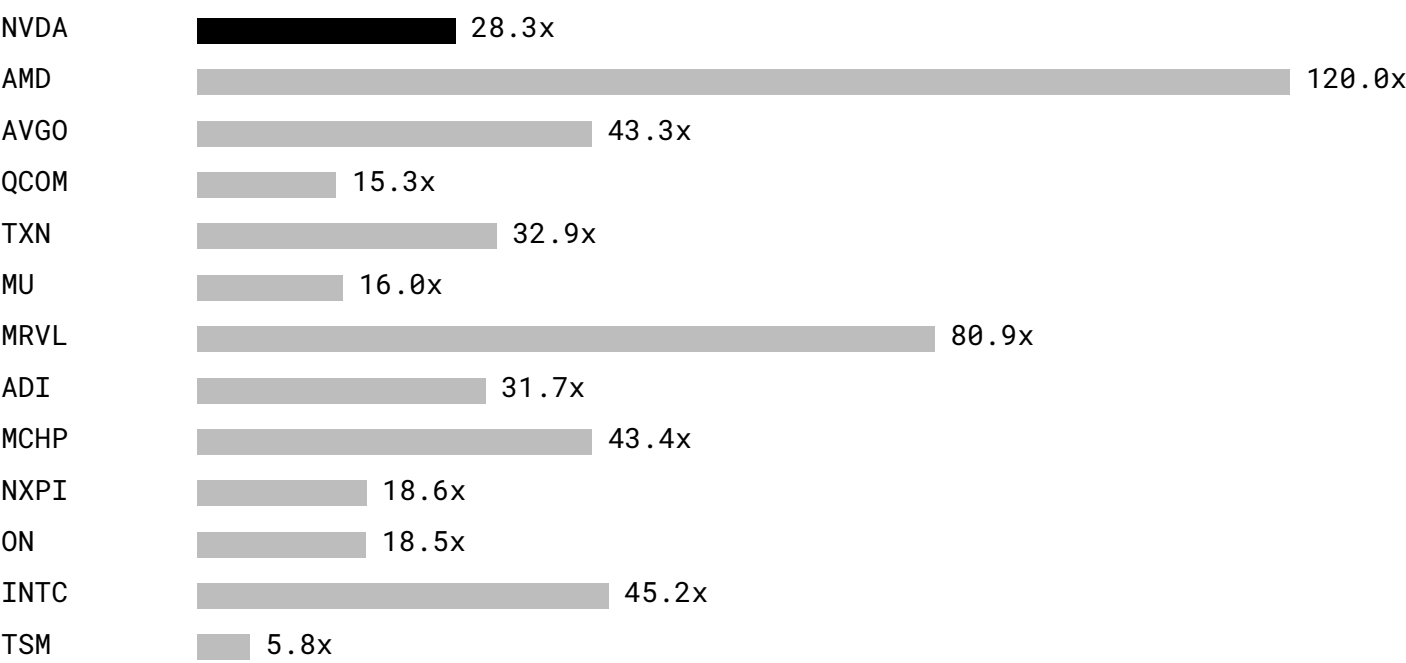
- Nvidia's EBITDA margin is more than double the broad peer median.
- EV/EBITDA is therefore more analytically useful than EV/Revenue because it prices cash operating earnings.
- EV/EBIT is useful but receives lower weight because depreciation, foundry model differences, and cycle timing reduce comparability.

EV/Revenue tells a premium story; EBITDA and EBIT tell a quality story.

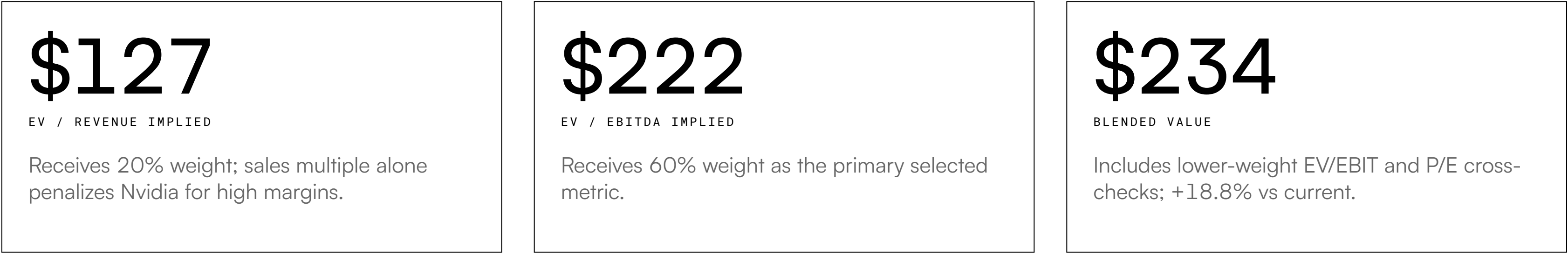
EV / Revenue



EV / EBITDA



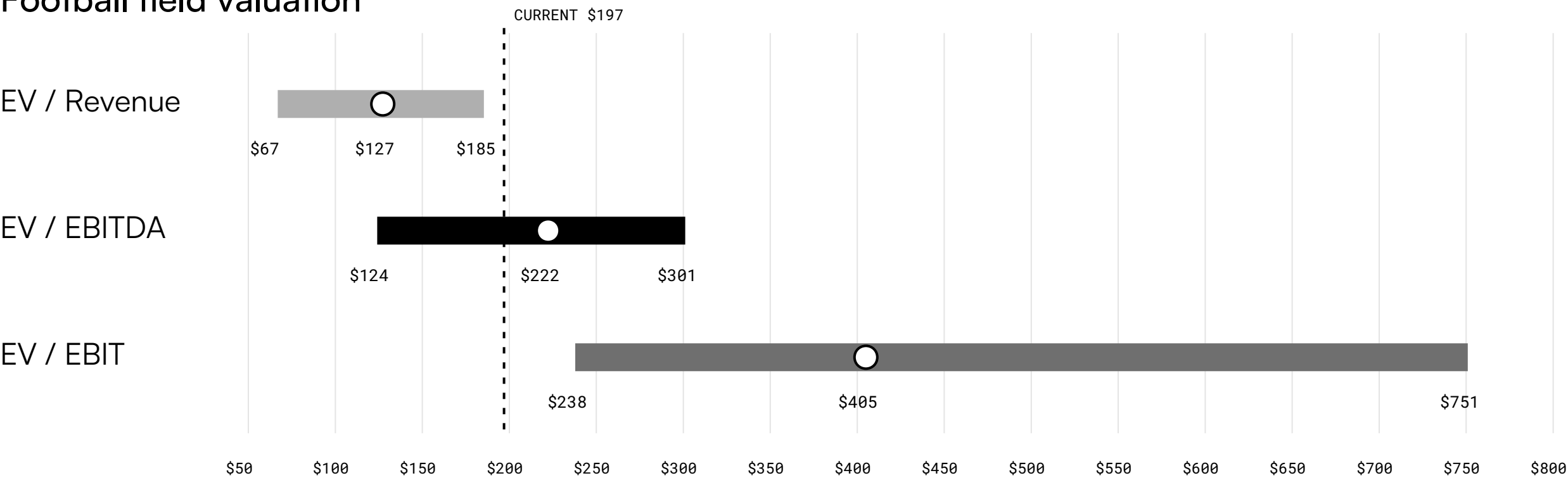
A blended profitability-weighted framework implies moderate upside.



Weighting: 60% EV/EBITDA, 20% EV/Revenue, 10% EV/EBIT, 10% P/E cross-check. EV/EBIT implied value is high because several peers show cyclically depressed EBIT, so the metric is diagnostic rather than primary.

Selected valuation range centers above the current share price.

Football field valuation



The upgraded methodology separates screen, selection, and valuation judgment.

- **Screen:** global semiconductor companies with scale, liquidity, and observable public trading metrics.
- **Select:** remove structurally non-comparable equipment/software profiles and data anomalies.
- **Normalize:** calculate EV-based metrics using market EV, revenue, EBITDA, latest annual EBIT, and current equity metrics.
- **Triangulate:** prioritize EV/EBITDA, cross-check EV/Revenue, EV/EBIT, P/E, PEG, and operating benchmarks.

EV/EBITDA

PRIMARY MULTIPLE

Most appropriate because it captures scale profitability, is capital-structure neutral, and avoids below-the-line P/E noise. It also better reflects Nvidia's unusually high conversion of revenue into cash operating earnings.

The valuation call depends on AI demand durability and margin persistence.

- Hyperscaler custom silicon could compress accelerator pricing and volume share.
- Export restrictions and supply-chain concentration remain material constraints.
- Gross margin normalization would reduce justification for sales multiple premium.
- Memory / networking bottlenecks and customer concentration could increase cyclicalities.

Key test

CAN AI CAPEX SUSTAIN RETURNS?

The relative valuation remains attractive only if Nvidia sustains a structurally superior growth-plus-margin profile.

Source trail and model notes.

- Market data and trading multiples: Yahoo Finance via yfinance pull, accessed 7—8 July 2026.
- Nvidia financial cross-check: Nvidia FY2026 fourth-quarter / fiscal-year results release and related SEC filings.
- Peer financial data: latest available public filings, company-reported financial statements, and data-provider normalized metrics.
- Valuation calculations: enterprise value divided by TTM / latest available revenue and EBITDA; EV/EBIT uses latest annual EBIT available from public financial statements.
- Peer statistics exclude Nvidia; ASML reviewed but excluded because semiconductor capital equipment economics and data-provider EV/revenue inconsistencies made it non-comparable to chip-company peers.
- All outputs are illustrative research analysis, not investment advice; refresh prices and filings before investment use.

The original answer was directionally right; the upgraded report now proves it.

With a defensible peer methodology, EV/EBIT cross-check, median rationale, scatter diagnostics, valuation bridge, and sources appendix, the conclusion is stronger: Nvidia's sales premium is visible, but profitability-adjusted relative valuation remains compelling.